

Fall 2009 MIDTerm MGT402 s2 solved - Courtesy Fahad

MIDTERM EXAMINATION
Fall 2009
MGT402- Cost & Management Accounting

Question No: 1 (M - 1) . (<http://www.vuzs.info>)

Opportunity cost is the best example of:

- ▶ **Relevant Cost**
- ▶ Irrelevant Cost
- ▶ Standard Cost



- ▶ Sunk Cost <http://groups.google.com/group/vuZs> (<http://groups.google.com/group/vuZs>)
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Question No: 2 (M - 1) . (<http://www.vuzs.info>)

_____ is the cost that is incurred at the time of making transaction.

- ▶ Product Cost
- ▶ Period Cost
- ▶ Sunk Cost
- ▶ **Historical Cost**

Question No: 3 (M - 1) . (<http://www.vuzs.info>)

Which of the following is calculated by a formula that uses net sales as denominator?

- ▶ Inventory turnover ratio
- ▶ **Gross profit rate**
- ▶ Return on Investment
- ▶ None of the given options

Gross profit rate or Gross margin = $\text{Gross profit} / \text{Net sales}$

Question No: 4 (M - 1) . (<http://www.vuzs.info>)

While transporting petrol, a little quantity will be evaporated; such kind of loss is termed as:

- ▶ **Normal Loss.**
- ▶ Abnormal Loss.
- ▶ Incremental Loss.
- ▶ Incremental abnormal loss.

Question No: 5 (M - 1) . (<http://www.vuzs.info>)

A typical factory overhead cost is:

- ▶ Distribution
- ▶ Internal audit
- ▶ **Compensation of plant manager**
- ▶ Design

Question No: 6 (M - 1) . (<http://www.vuzs.info>)

An average cost is also known as:

- ▶ Variable cost
- ▶ **Unit cost**
- ▶ Total cost
- ▶ Fixed cost

Question No: 7 (M - 1) . (<http://www.vuzs.info>)

Period costs are:

- ▶ Expensed when the product is sold
- ▶ Included in the cost of goods sold
- ▶ **Related to specific period**
- ▶ Not expensed

Question No: 8 (M - 1) . (<http://www.vuzs.info>)

Costs that change in response to alternative courses of action are called:

- ▶ Relevant costs
- ▶ **Differential costs**
- ▶ Target costs
- ▶ Sunk costs

Question No: 9 (M - 1) . (<http://www.vuzs.info>)

Which of the following is a period cost?

- ▶ Direct materials
- ▶ Indirect materials
- ▶ Factory utilities
- ▶ **Administrative expenses**

Question No: 10 (M - 1) . (<http://www.vuzs.info>)

When purchases are added to raw material opening Inventory, we get the value of:

- ▶ Material consumed.
- ▶ **Material available for use.**
- ▶ Material needed.
- ▶ Raw material ending inventory.

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Question No: 11 (M - 1) . (<http://www.vuzs.info>)

Which of the following is deducted from purchases in order to get the value of Net purchases?

- ▶ **Purchases returns**
- ▶ Carriage inward
- ▶ Custom duty
- ▶ All of the given options

Question No: 12 (M - 1) . (<http://www.vuzs.info>)

Which of the following cost is used in the calculation of cost per unit?

- ▶ Total production cost
- ▶ Cost of goods available for sales
- ▶ **Cost of goods manufactured**
- ▶ Cost of goods Sold

Question No: 13 (M - 1) . (<http://www.vuzs.info>)

When prices are rising over time, which of the following inventory costing methods will result in the lowest gross margin?

- ▶ FIFO
- ▶ **LIFO**
- ▶ Weighted Average
- ▶ Cannot be determined

LIFO will result in higher cost of goods sold, lower gross margins and lower profitability (but also lower taxes) because the sold units will be accounted for using the most recent, higher costs.

Question No: 14 (M - 1) . (<http://www.vuzs.info>)

Counting items to ensure an order is correct, is an activity relates to:

- ▶ **Ordering cost**
- ▶ Carrying cost
- ▶ Stock out cost
- ▶ Holding cost

Question No: 15 (M - 1) . (<http://www.vuzs.info>)

In cost Accounting, normal loss is/are charged to:

- ▶ **Factory overhead control account**
- ▶ Work in process account
- ▶ Income Statement
- ▶ All of the given options

Question No: 16 (M - 1) . (<http://www.vuzs.info>)

Direct Labor is an element of:

- ▶ Prime cost
- ▶ Conversion cost
- ▶ Total production cost
- ▶ **All of the given options**

Question No: 17 (M - 1) . (<http://www.vuzs.info>)

Which of the following is/are the basic object/s of job analysis?

- ▶ Determination of wage rates
- ▶ **Ascertain the relative worth of each job**
- ▶ Breaking up job into its basic elements
- ▶ All of the given options

Question No: 18 (M - 1) . (<http://www.vuzs.info>)

According to Rowan premium plan, which of the following formula is used to calculate the bonus rate?

- ▶ **(Time saved/time allowed) x 100**
- ▶ (Time allowed/time saved) x 100
- ▶ (Actual time taken/time allowed) x 100
- ▶ (Time allowed/actual time taken) x 100

Question No: 19 (M - 1) . (<http://www.vuzs.info>)

Under Piece Rate System wages are paid to employees on the basis of:

- ▶ **Units produced**
- ▶ Time saved
- ▶ Over time
- ▶ Competencies

Question No: 20 (M - 1) . (<http://www.vuzs.info>)

All of the following are cases of labor turnover **EXCEPT**:

- ▶ Workers appointed against the vacancy caused due to discharge or quitting of the organization
- ▶ Workers employed under the expansion schemes of the company
- ▶ The total change in the composition of labor force
- ▶ **Workers retrenched**

Question No: 21 (M - 1) . (<http://www.vuzs.info>)

Where there is mass production of homogeneous units or where few products are produced in batches, which of the following cost driver would be regarded as best base for the determination of Factory overhead absorption rate?

- ▶ **Number of units produced**
- ▶ Labor hours
- ▶ Prime cost
- ▶ Machine hours

Question No: 22 (M - 1) . (<http://www.vuzs.info>)

The term cost allocation is described as:

- ▶ **The costs that can be identified with specific cost centers.**
- ▶ The costs that can not be identified with specific cost centers.
- ▶ The total cost of factory overhead needs to be distributed among specific cost centers.
- ▶ None of the given options

Question No: 23 (M - 1) . (<http://www.vuzs.info>)

Budget/spending variance arises due to:

- ▶ Difference between absorbed factory overhead & capacity level attained
- ▶ **Difference between budgeted factory overhead for capacity attained and FOH actually incurred**
- ▶ Difference between absorbed factory overhead and FOH actually incurred
- ▶ None of the given options

Question No: 24 (M - 1) . (<http://www.vuzs.info>)

Capacity Variance / Volume Variance arises due to

- ▶ **Difference between Absorbed factory overhead and budgeted factory for capacity attained**
- ▶ Difference between Absorbed factory overhead and absorption rate
- ▶ Difference between Budgeted factory overhead for capacity attained and FOH actually incurred
- ▶ None of the given options

Question No: 25 (M - 1) . (<http://www.vuzs.info>)

Which of the following would be considered a major aim of a job order costing system?

- ▶ To determine the costs of producing each job
- ▶ To compute the cost per unit
- ▶ To include separate records for each job to track the costs
- ▶ **All of the given options**

Question No: 26 (M - 1) . (<http://www.vuzs.info>)

In a job-order cost system, indirect labor costs would be recorded as a debit to:

- ▶ Finished Goods
- ▶ **Manufacturing Overhead**
- ▶ Raw Materials
- ▶ Work in Process

Question No: 27 (M - 1) . (<http://www.vuzs.info>)

Which cost accumulation procedure is best suited to a continuous mass production process of similar units?

- ▶ Job order costing
- ▶ **Process costing**
- ▶ Standard costing
- ▶ Actual costing

Question No: 28 (M - 1) . (<http://www.vuzs.info>)

In a process costing system, the journal entry used to record the transfer of units from Department A, a processing department, to Department B, the next processing department, includes a debit to:

- ▶ Work in Process Department A and a credit to Work in Process Department B
- ▶ **Work in Process Department B and a credit to Work in Process Department A**
- ▶ Work in Process Department B and a credit to Materials
- ▶ Finished Goods and a credit to Work in Process Department B

Question No: 29 (M - 1) . (<http://www.vuzs.info>)

A chemical process has no normal wastage of input. In a period, 3,500 Kg of material were in put and there was abnormal loss of 15% of in put. What quantity of good production was achieved?

- ▶ 2,175 Kg
- ▶ **2,975 Kg**
- ▶ 3,325 Kg
- ▶ 4,425 Kg

Question No: 30 (M - 1) . (<http://www.vuzs.info>)

In the process costing when material is issued for production to department no 1.what would be the journal entry Passed?

▶ **W.I.P (Dept-I)**
To Material a/c

▶ W.I.P (Dept-ii)
To Material a/c

▶ Material a/c
To W.I.P (Dept-ii)

▶ W.I.P (Dept-ii)
To FOH applied.

Question No: 31 (M - 1) . (<http://www.vuzs.info>)

Which of the following is NOT an element of factory overhead?

- ▶ Depreciation of the maintenance on equipment
- ▶ Salary of the plant supervisor
- ▶ Property taxes on the plant buildings
- ▶ **Salary of a marketing manager**

Question No: 32 (M - 1) . (<http://www.vuzs.info>)

Under perpetual Inventory system the Inventory is treated as:

- ▶ **Assets**
- ▶ Liability
- ▶ Income
- ▶ Expense

Question No: 33 (M - 1) . (<http://www.vuzs.info>)

Information concerning the materials used in the Mixing department in June follows:

Detail	Units
WIP June 01	12000
Units put in process	54000
Units completed	58000

Material is charged to production at 0.53 per unit. What are the materials cost of the work in process at June 30?

- ▶ Rs. 4,000
- ▶ **Rs. 4,240**
- ▶ Rs. 5,333
- ▶ Rs. 34,980

Question No: 34 (M - 1) . (<http://www.vuzs.info>)

Opening WIP Jan 01	0 units
Units received from preceding department	13,500 units, @4.50 (mailto:units,@4.50) per unit cost
Units completed in this department	11,750 units, @3.75 per unit cost

What was the Value of closing work in process?

- ▶ Rs.16,875
- ▶ **Rs.14,437.50**
- ▶ Rs.14,437
- ▶ Rs.33,750

Units received - Units completed * Average rate
 $(13,500 - 11,750) * 8.25$
 $1,750 * 8.25 = 14437.50$

Question No: 35 (M - 1) . (<http://www.vuzs.info>)

Raymond Corporation estimates factory overhead of Rs. 345,000 for next fiscal year. It is estimated that 60,000 units will be produced at a material cost of Rs. 575,000. Conversion will require 34,500 direct labor hours at a cost of Rs. 10 per hour, with 25,875 machine hours.

FOH rate on the bases on Budgeted Production would be?

- ▶ **Rs. 5.75 per unit**
- ▶ Rs. 6.65 per unit
- ▶ Rs. 6.0 per unit
- ▶ Rs.1 per unit

$345000 / 60000 = 5.75$

Question No: 36 (M - 1) . (<http://www.vuzs.info>)

The components of total factory cost are:

- ▶ Direct Material + Direct Labor
- ▶ Direct Labor + FOH
- ▶ Prime Cost only
- ▶ **Prime Cost + FOH**

Direct material used + direct labor = prime cost + FOH = Total factory cost

Question No: 37 (M - 1) . (<http://www.vuzs.info>)

If sales is greater than cost, it means:

- ▶ **Profit**
- ▶ Loss
- ▶ Neither profit nor Loss
- ▶ Can not be determined

Question No: 38 (M - 1) . (<http://www.vuzs.info>)

Reduction of labor turnover, accidents, spoilage, waste and absenteeism are the results of which of the following wage plan?

- ▶ Piece rate plan
- ▶ Time rate plan
- ▶ Differential plan
- ▶ **Group bonus system**

Question No: 39 (M - 1) . (<http://www.vuzs.info>)

If an item of overhead expenditure is charged specifically to a single department this would be an example of:

- ▶ Apportionment
- ▶ **Allocation**
- ▶ Re-apportionment

- Absorption

Question No: 40 (M - 1) . (<http://www.vuzs.info>)

Cost apportionment is:

- The charging of discrete identifiable items of cost to cost centers or cost unit
- The collection of costs attributable to cost center and cost unit using the costing method, principles and techniques prescribed for a particular business entity
- The process of establishing the costs of cost centers or cost units
- **The division of costs among two or more cost centers in proportion to the estimated benefit received.**

Question No: 41 (M - 10)

Define the following term with examples

- 1- Sunk cost
- 2- Implicit cost
- 3- Explicit cost
- 4- Opportunity cost
- 5- Historic cost

Answer :

- 1- **Sunk cost :** Sunk cost refers to the cost that has been spent in the past and that cannot be retrieved on product or service in the current period. This cost should not be taken into account while making the decisions by management.

Example

Stationary bought in bulk last month. In this case the cost has been incurred and will not be important to management decisions being made for the future..

2-Implicit cost : Implicit cost is the cost imposed on a firm for foregoing an alternative but where the actual payment for the alternative taken is not involved

Example :

Use of company's capital for investment
Use of the owner's time
Use of the owner's land for investment

3-Explicit cost : This is subject to actual payment or will be paid in the future.

Example : 1) Actual payment made to buy land for expansion of the company instead of using the owner's land.

2) Payment made for wage, rent or material etc.

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4-Opportunity cost : Opportunity cost is the cost of sacrificing a benefit by choosing some other alternative. This is the cost of foregoing an alternative in favour of some other alternative.

Example : 1) If the owner of a company further invests money in his business instead of keeping it in the bank in a savings account then the opportunity cost in this case will be the yearly interest that the bank would have paid to him had he chosen the alternative of keeping the money in the savings account. The investment made in the business should give him more return than the opportunity cost if it is to be deemed a better investment.

2) Instead of investing in his hotel for increasing profits, if an owner invests in some other investment then the loss of the increase in profits in the hotel is an opportunity cost for the owner.

5-Historic cost : Historic cost is the cost that is incurred at the time of making transaction and can be verified through purchase agreement or invoice. It is used in financial accounting for valuing assets of the company as opposed to market value which is used in financial management. The

Examples : 1) Cost paid to acquire a land for investment purpose.

2) Cost incurred to buy Machinery as capital expenditure for manufacturing business.

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